

the bull market. Bear market patterns are rare, but they bust more frequently than those in bull markets.

Busted occurrence. I sorted the number of busts into single, double, and more than two (triple+) busts. Single busts happen most often followed by double and triple+ busts. That's not always the case, though. I've seen other chart patterns where triple+ busts place second for frequency.

Busted and non-busted performance. I don't have a non-busted three rising valleys pattern to compare against, not because I don't have them in stock. Rather, it's because they don't exist. So, we can only compare the busted performance with all busted types (single, double, and triple+) and single busted patterns. Single busted patterns nearly always beat the other types.

Trading Tactics

[Table 63.10](#) shows trading tactics.

Measure rule, targets. The measure rule sets a target price, so we can check the probability of price reaching the target.

To use it, compute the formation height and add the result to the breakout price. For example, the three rising valleys marked 1, 2, and 3 in [Figure 63.5](#) use the price difference between points 7 (\$9.52) and 1 (\$7.38) for a height of 2.14. Add the height to the breakout price (the highest high) to get a target of 11.66. The stock hits the target in early March.

The bottom portion of the table shows how often this works. In this example, we used the full height in a bull market. The table shows price reaches the target 57% of the time, on average. Thus, you might want to cut the height in half or more to get a closer, more reliable target.